

HYPERINFLATION

A CRISIS, SUCH AS A WAR, CAN SOMETIMES SET OFF A SPIRAL OF HYPERINFLATION IN A COUNTRY, WHEN PRICES SOAR BY HUNDREDS OR THOUSANDS OF PERCENT A YEAR. THE CURRENCY SOON BECOMES WORTHLESS AS PEOPLE RUSH TO SPEND MONEY BEFORE IT LOSES ITS VALUE. HYPERINFLATION IS OFTEN TRIGGERED BY THE GOVERNMENT PRINTING MONEY TO MAKE UP FOR A SHORTFALL IN INCOME OR RESERVES.